Anti-Money Laundering (AML) Policy

1. Purpose

This policy establishes the bank's framework for detecting, preventing, and reporting money laundering and terrorist financing activity in accordance with applicable regulation. It applies to all customer-facing staff, fraud analysts, and compliance officers.

2. Structuring and Threshold Avoidance

Transactions structured to fall just below regulatory reporting thresholds (for example, multiple transfers of amounts just under EUR 5,000 within a short period) must be treated as a red flag for structuring. When an analyst identifies three or more transactions within a seven-day window that are each within 10 percent of a known reporting threshold, the case must be escalated to a Senior AML Analyst within one business day.

3. Rapid Movement of Funds

Funds that move through three or more accounts within a short time window (typically under one hour), especially when crossing jurisdictions, are considered high-risk layering activity. Analysts must trace the full transaction chain and document the originating and terminating accounts before closing or escalating the alert.

4. Unrelated Senders to a Single Account (Fan-in)

An account that receives funds from five or more apparently unrelated customers within a 30-day period, particularly if the funds are redistributed shortly after receipt, must be investigated as a potential money mule account. The receiving account should be flagged and reviewed for a Suspicious Activity Report (SAR) regardless of the individual transaction sizes.

5. Escalation and Reporting

Analysts must never characterize a flagged case as confirmed fraud or money laundering in system notes. Findings should be described as potentially suspicious and requiring further review. A SAR may only be filed following review and sign-off by a Compliance Officer.